UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate Transmission System	))	Docket No. RM26-4-000

INITIAL COMMENTS OF
THE ARKANSAS PUBLIC SERVICE COMMISSION

The Arkansas Public Service Commission ("APSC" or "Arkansas") submits these comments to the Federal Energy Regulatory Commission ("Commission" or "FERC") regarding its advanced notice of proposed rulemaking ("ANOPR") regarding reforms to the interconnection processes for large loads connecting to the transmission system for consideration and final action. While the APSC shares the federal objective of ensuring that our electric grid can reliably accommodate transformative load growth, including advanced industries, hyperscale data centers, and emerging manufacturing sectors, the proposed rule is unnecessarily harmful for Arkansas and risks disrupting well-functioning regional and state processes.

I. Comments

The APSC has general regulatory authority over electric and natural gas public utilities and certain water and sewer public utilities providing retail utility services to the public for compensation. It is charged with the duty of ensuring that public utilities provide safe, adequate, and reliable utility service at just and reasonable rates. As a member of two regional transmission organizations ("RTO"), Southwest Power Pool ("SPP") and Midcontinent Independent System Operator ("MISO"), the APSC is keenly positioned to offer an informed perspective on the current interconnection processes as it applies to resource adequacy. The APSC offers that there have been several recent developments within these RTOs and within the State to highlight as evidence that there are already processes for the integration of large loads and therefore the proposed ANOPR is unnecessary.

Within our western footprint, SPP is proposing innovative tariff offerings such as the High-Impact Load ("HILLS") and Conditional High Impact Large Load (CHILLS") proposed tariff revisions which will establish a 90-day study and approval process for interconnecting large loads. Within MISO, Arkansas supported and FERC recently approved MISO's Expedited Resource Addition Study Process to address faster processes through MISO's interconnection queue, which addresses the issues FERC seeks to remedy. These reforms are specifically tailored to regional system needs and reflect ongoing coordination among the RTOs, load-serving entities, transmission owners and state regulators.

Simultaneously, the Arkansas General Assembly has enacted several new laws this year, including Acts 373, 548, and 576 of 2025 that reinforce the state's authority over large-load siting, resource procurement, reliability planning, and economic development. Act 373 of 2025 in particular reduces project review timeframes which allows critical infrastructure to come online faster.

Together, these recent regional and state changes demonstrate that Arkansas possesses modern, flexible, and effective frameworks to process large-load interconnection requests in a timely and reliable manner. Federal action should be reserved for regions where processes are failing, not those where reforms are already in place and producing results.

The APSC is concerned that the ANOPR risks disrupting states jurisdiction and the effective processes highlighted above. Arkansas' vertically integrated utility model depends on clear state-level oversight. Further, utilities under APSC jurisdiction operate under state-jurisdictional resource adequacy, retail rate design, and reliability obligations. Reassigning interconnection authority for large loads to FERC would blur the distinction between retail service and transmission interconnection, complicate state-regulated special-rate contracts, create uncertainty regarding which entity bears the obligation to serve, and risk conflict with the state's legislative framework. Creating a system where the load is separated from the obligation to serve would result in the very thing the ANOPR seeks to avoid: making the grid less reliable.

Rather than imposing new standards, the APSC urges FERC to support the state regulatory authorities by establishing voluntary best practices, establish backstop authority only in instances of demonstrated delay or discrimination, and avoid any implication that the federal government is asserting jurisdiction over retail-level obligations.

II. Conclusions and recommendations

The Commission respectfully recommends that FERC decline to impose the proposed nationwide rule in regions such as SPP and MISO where sufficient processes already exist. Arkansas's legislative framework, combined with its RTO processes are evolving to meet the needs of large-load customers without sacrificing reliability, cost-causation principles, or the state's statutory authority. If FERC proceeds, it should only enact a rule that: preserves state jurisdiction over retail service, resource planning, and cost recovery; limits any final rule to transmission-level engineering studies only; recognizes existing regional processes such as SPP's proposed HILLS and CHILLS as compliant alternatives; sets a minimum load threshold of no less than 100 MW; and requires robust coordination with state regulators.

Arkansas has already positioned itself to meet the growing needs of the AI, data-center, and industrial sectors. A federal rule that overrides or duplicates these efforts is unnecessary and counterproductive. FERC should recognize the strong performance of the existing regional processes and the different structures of states' regulatory frameworks and avoid imposing a blanket rule that risks creating delays, jurisdictional conflict, and unintended cost burdens on ratepayers.

Respectfully submitted,